

CMT 446 – Information Systems Audit



Part 1: Audit Reporting & Management Communication (45 Minutes)

- **Structure of audit reports:** Detail the executive summary, methodology, findings, and recommendations. Discuss what makes an audit report truly effective for board members.

- **Communicating risk and impact:** Translate technical findings into business risks.
 - *Practical Example:* If auditing a corporate office relocation (like a move to Westlands Square or similar), how do you report on physical security gaps or IT downtime risks in a way that forces executive action rather than defensive pushback?
- **Management responses and follow-up:** Discuss management follow-up. Explain the auditor's responsibility after the report issuance to track remediation.

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Part 2: Professional Ethics in IS Audit (30 Minutes)

- **Independence and objectivity:** Discuss why independence is critical and how the ISACA Code of Ethics mandates it.

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- **Conflicts of interest:**
 - *Practical Example:* Present a scenario where an auditor is asked to review a supplier management policy they helped draft the previous year. Discuss what should be done when this conflict arises.
- **Confidentiality obligations:** Discuss the boundaries of sharing findings, particularly when dealing with third-party medical or financial data administrators.

Part 3: Continuous Auditing Models (45 Minutes)

- **Use of automated controls:** Contrast continuous auditing with traditional, point-in-time audits.

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- **Real-time assurance:** Discuss how continuous auditing improves overall assurance by catching anomalies immediately.

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- **Continuous monitoring dashboards:** * *Practical Example:* Show how configuring alerts in an SIEM to monitor unauthorized changes to firewall rules serves as a continuous audit control, aligned with COBIT 2019 monitoring standards.

Module 6: Audit Reporting, Ethics & Continuous Auditing

Duration: 2 Hours

Standards Alignment: ISACA Code of Ethics, COBIT 2019 – Monitoring

1. One-Page Infographic Summary (Textual Template)

- Audit Reporting Principles
- Professional Ethics
- Independence & Objectivity
- Continuous Auditing Models
- Management Follow-up

2. Detailed Lecture Notes

Audit Reporting

- Structure of audit reports
- Communicating risk and impact
- Management responses

Professional Ethics

- Independence and objectivity
- Conflicts of interest
- Confidentiality obligations

Continuous Auditing

- Use of automated controls
- Real-time assurance
- Continuous monitoring dashboards

3. CAT-Style Scenario Questions

1. An auditor suppresses a finding under management pressure. Identify ethical breaches.
2. Explain why audit independence is critical.
3. How does continuous auditing improve assurance?
4. Describe escalation procedures for critical findings.
5. What makes an audit report effective?
6. Explain auditor responsibility after report issuance.
7. A conflict of interest arises during an audit. What should be done?

8. Why is professional skepticism essential?
9. Explain continuous auditing vs traditional audits.
10. Describe governance implications of poor audit reporting.